

AMERICAN CONTINENTAL RAILROAD

A vertically integrated American freight, logistics and industrial-property company

START-UP BUSINESS PROPOSAL | OCTOBER 2026

Illustrative starting capital: US\$50 billion

THE INVESTMENT IDEA

Build a modern railroad conglomerate that earns from the movement of freight—and from the terminals, equipment, logistics services and industrial land that make that movement possible.

Core strategy: acquire functioning railways and logistics businesses first; connect them through commercial agreements; invest in new capacity only where customer demand supports it.

Prepared as a strategic start-up proposal. Company name, capital allocation, financial targets and regional strategy are illustrative and subject to diligence.

1. Executive summary

American Continental Railroad Holdings (ACRH) is a proposed U.S. transportation and industrial-infrastructure group. With an assumed initial capital pool of \$50 billion, it would combine a core freight railroad with intermodal terminals, rail-served industrial property, rolling-stock engineering and third-party logistics.

The opportunity is not to build an entirely new national network from scratch. The U.S. already has an extensive freight rail system, controlled predominantly by six Class I operators. ACRH would seek to acquire regional and short-line railroads, secure access to major networks, and develop new routes, terminals and industrial sites where the economics are compelling.

The company's competitive advantage would come from coordinating businesses that are often owned or operated separately: railway infrastructure, trains and freight cars, terminals, land, warehousing and customer logistics.

Strategic priorities

- **Acquire proven freight flows:** prioritise operating railways and logistics assets with existing customers, useful network connections and inspectable infrastructure.
- **Build focused regional clusters:** initially evaluate Gulf Coast, Mid-South and lower Midwest opportunities rather than immediately pursuing national coverage.
- **Develop recurring revenue:** combine freight charges with terminal handling, equipment services, logistics and industrial-property income.
- **Maintain capital discipline:** stage investment, retain a contingency reserve and underwrite every acquisition on cash flow and lifecycle costs.

Investment principle

Acquire freight flows first, then invest in the railway, equipment and property needed to serve them.

Important qualification

The \$50 billion figure is an assumed capital scenario, not a committed financing package. This document is a strategic proposal—not an offer of securities, an acquisition valuation, a lender memorandum or a validated financial forecast.

2. Market opportunity

U.S. freight rail offers access to established industrial demand across intermodal containers, agriculture, chemicals, building materials, manufactured goods, vehicles and port-related freight. The national network and its major operators provide connectivity, but also create a high barrier to entry for any new competitor.

Market feature	Why it matters to ACRH
Extensive existing network	Acquiring or partnering with existing operators is generally more practical than constructing a national railway from scratch.
Concentrated Class I sector	Interchange access, operating agreements and regulatory strategy are critical; national reach need not require ownership of every mile.
Regional and short-line railways	Potential platforms for local freight, industrial switching, feeder routes and connections to larger railroads.
Multiple commodity categories	A diversified customer and commodity base can reduce dependence on any one freight market.
Rail-served industrial sites	Property and terminal development can help attract freight, but requires separate land rights, planning and environmental diligence.

Market research sources to verify during diligence

Association of American Railroads (AAR), Freight Rail Facts & Figures; Bureau of Transportation Statistics / Federal Highway Administration, Freight Analysis Framework. These should be refreshed with the latest available data before investment decisions.

3. Integrated business model

ACRH would be organised as a holding company with operating subsidiaries. This enables the group to coordinate customer service and capital allocation while tracking the performance of each business separately.

A. Railroad operations

Own or operate acquired regional and short-line networks; run locomotives and freight cars; maintain track and structures; provide local switching and freight transportation; and connect to major railroads through approved agreements or rights.

B. Intermodal and terminals

Operate container terminals, transloading facilities, storage yards and port connections. Focus first on a small number of high-utilisation sites with multiple customers and a clear link to contracted freight demand.

C. Rail-served industrial property

Acquire or lease selected parcels for industrial parks, warehouses, distribution facilities, bulk terminals and manufacturing sites. Railway ownership does not automatically confer ownership of adjacent land; each parcel requires separate title, access, environmental and planning diligence.

D. Rolling stock and engineering

Maintain and refurbish locomotives and freight cars; manage equipment utilisation; selectively lease equipment to third parties; and develop repair capabilities before considering capital-intensive new manufacturing.

E. Logistics and freight services

Provide freight forwarding, drayage, trucking coordination, warehousing, container management and final-mile delivery. Sell third-party services where they are profitable and do not distract from safe railway operations.

F. Digital and infrastructure systems

Use integrated systems for dispatch support, asset tracking, predictive maintenance, customer booking and billing, energy monitoring, property management and freight planning. Digital tools should support—not replace—railway safety and maintenance requirements.

Revenue architecture

Revenue stream	Primary driver
Freight transportation	Volume, rate quality, service reliability and operating efficiency
Local switching and access services	Customer density, contract terms and track utilisation
Terminal and transloading services	Throughput, handling rates and facility productivity
Equipment leasing and maintenance	Fleet utilisation, repair capacity and lifecycle cost
Property and warehouse income	Occupancy, rent, site quality and development cost
Logistics and forwarding	Shipment volumes, service quality and customer retention
Engineering services	Shop capacity, external demand and cost control

Accounting discipline: intercompany charges between subsidiaries must be eliminated in consolidated accounts. Revenue diversification is valuable, but internal transfers do not create additional group revenue.

4. Initial regional strategy

The initial footprint should be selected through freight-flow mapping, acquisition diligence and customer commitments. The Gulf Coast–Mid-South–lower Midwest is a working hypothesis, not a predetermined investment decision.

Gulf Coast and lower Mississippi

Investigate railways, terminals and industrial customers associated with chemicals, bulk commodities, agricultural products and port logistics. Screen environmental exposure and hazardous-materials requirements carefully.

Memphis and the Mid-South

Evaluate a potential inland logistics hub for intermodal freight, manufacturing, agricultural products and distribution. Commercial viability depends on access agreements, terminal capacity, customer demand and competitive service.

Lower Midwest and industrial corridors

Assess selected opportunities in steel, construction materials, machinery, automotive supply chains, forest products and intermodal freight. Treat major hubs such as Chicago as potential connection points, while accounting for congestion, land costs and competition.

Network rule

Prioritise connected clusters and commercially valuable freight corridors. Avoid acquiring disconnected track simply to increase route mileage.

5. Proposed allocation of \$50 billion

Investment category	Allocation	Share
Railway and logistics acquisitions	\$16.0bn	32%
Railway rehabilitation and capacity	\$7.0bn	14%
Intermodal terminals and port connections	\$5.5bn	11%
Locomotives, freight cars and containers	\$4.5bn	9%
Rail-served industrial / logistics property	\$4.0bn	8%
Engineering, maintenance and repair	\$2.5bn	5%
Digital, signalling and safety systems	\$2.0bn	4%
Freight forwarding and warehousing	\$2.0bn	4%
Working capital, contingency and future reserve	\$6.5bn	13%
TOTAL	\$50.0bn	100%

Capital-allocation logic

- Use acquisitions to obtain operating capability, employees, customers, equipment and network connections.
- Fund rehabilitation only after engineering inspections identify required work and customer demand supports the case.
- Build or expand terminals in stages, tied to throughput, signed customer commitments and access rights.
- Buy industrial land only where rail access, planning, environmental status and tenant demand have been investigated.
- Protect the reserve. Do not deploy all available capital merely because it is available.

These are planning allocations, not acquisition commitments or construction estimates. Reallocation should follow due diligence and investment-committee approval.

6. Illustrative financial ambition

A credible forecast cannot be produced from the capital figure alone. It requires a named target pipeline, asset-level financial statements, purchase prices, traffic and rate data, infrastructure condition, staffing, maintenance needs, debt terms and tax assumptions. The figures below are therefore strategic targets for testing—not forecasts or promises.

Milestone	Annual revenue target	EBITDA target	Purpose
Acquisition phase	\$3–5bn annualised	To be established	Acquire functioning operations and verify baseline economics
Around Year 5	\$5–7bn	\$1.2–2.0bn	Improve operations and develop terminals and logistics
Around Year 10	\$8–12bn	\$2.0–3.4bn	Build a multi-region freight and industrial group
Around Year 20	\$12–16bn	\$3.0–4.8bn	Operate a mature, diversified platform

Financial definitions and safeguards

EBITDA is earnings before interest, taxes, depreciation and amortisation. EBITDA is not free cash flow: it excludes capital expenditure, interest, taxes and changes in working capital. Railway infrastructure is capital-intensive, so free cash flow after maintenance and growth capital expenditure is essential to assessing returns.

The investment committee should test each asset's purchase price, operating cash flow, lifecycle maintenance costs, working capital, financing structure, tax, downside scenarios and terminal value. The proposed 9–11% long-term equity-return hurdle is a preliminary underwriting target only and should be refined for risk, leverage and investor requirements.

Downside cases should include recession, reduced commodity volumes, loss of a major customer, higher fuel and labour costs, infrastructure defects, delayed permits, weaker property occupancy and higher financing costs.

7. Execution roadmap

Phase	Indicative period	Key deliverables
1. Establish platform	2027–2028	Map targets; select lead acquisition; secure customer and interchange diligence; establish safety, finance and governance systems.
2. Integrate first cluster	2028–2030	Improve operating performance; integrate dispatch, maintenance and billing; expand terminals only against demand; launch initial rail-served property.
3. Expand selectively	2030–2033	Add complementary railways and logistics assets; invest in bottlenecks; scale engineering and equipment services.
4. Mature the group	2033–2036	Optimise portfolio; sell non-core assets where appropriate; reinvest in high-return corridors and facilities.

The schedule is indicative. Regulatory review, acquisition availability, infrastructure works and customer commitments may shift milestones.

8. Regulatory, safety and operating requirements

ACRH would need specialist U.S. railroad counsel and technical advisers before signing an acquisition or commencing operations. The applicable approvals depend on the precise asset, transaction structure and proposed service.

Regulatory and safety workstreams

- **Surface Transportation Board:** determine the applicable authority, filing or exemption for each acquisition, control transaction, lease, trackage-rights arrangement or operating change. Major railroad mergers can face extensive review.
- **Federal Railroad Administration:** build a safety-management programme covering track, structures, rolling stock, signalling, train operations, hazardous materials and workforce training.
- **Environmental and property diligence:** investigate contamination, easements, land title, access rights, zoning, permits and redevelopment liabilities.
- **Employment and labour:** assess workforce transfer, collective bargaining, training, staffing and operational continuity requirements.
- **Commercial contracts:** review interchange, haulage, terminal access, customer service, liability, insurance and service-performance provisions.
- **Cybersecurity and continuity:** protect operational technology and business systems; establish incident response, recovery and manual operating contingencies.

Reference starting points

Surface Transportation Board: [stb.gov](https://www.stb.gov). Federal Railroad Administration: [railroads.dot.gov](https://www.railroads.dot.gov). Legal requirements should be verified with current counsel; this proposal is not legal advice.

9. Principal risks and mitigations

Risk	Mitigation
Overpaying for assets	Independent valuation, quality-of-earnings review and transaction-specific return hurdles.
Hidden infrastructure backlog	Independent track, bridge, signalling and rolling-stock inspections before closing.
Reliance on connecting railroads	Secure workable interchange terms and diversify relationships where practical.
Freight downturn or customer concentration	Diversify commodities and customers; stress-test contracts and fixed costs.
Property vacancy or remediation	Verify title, contamination, planning and tenant demand before acquisition.
Safety or regulatory failure	Fund compliance and maintenance; establish accountable safety leadership.
Excessive leverage	Set liquidity and leverage limits; test downside debt-service capacity.
Integration failure	Phase acquisitions, standardise core processes and retain local operating knowledge.

10. First 100 days: diligence and launch plan

- **Days 1–30 — Define the mandate:** appoint a launch team; set acquisition criteria; define acceptable leverage, target returns, safety standards and governance.
- **Days 15–50 — Map the market:** build a target list of short-line railroads, regional operators, terminals, logistics companies and rail-served industrial properties; map freight flows and connecting networks.
- **Days 30–70 — Test the assets:** request financial, traffic, customer, employee, legal, environmental and engineering data; commission independent inspections of shortlisted targets.
- **Days 45–85 — Validate demand:** interview shippers, manufacturers, ports, agricultural businesses and logistics customers; seek non-binding indications of freight volumes and terminal requirements.

- **Days 60–100 — Build the investment case:** prepare asset-level valuations, an integrated 20-year model, regulatory pathway, capital budget and downside cases; present a ranked acquisition pipeline to the investment committee.

Decision gate at Day 100

Proceed only if management can identify a credible initial acquisition platform, verify its condition and customer base, demonstrate viable network access, and show a risk-adjusted path to attractive free cash flow after maintenance capital expenditure.

11. Recommendation

Proceed to a formal feasibility and acquisition phase for American Continental Railroad Holdings. The proposed group should begin with a proven operating platform and expand through connected regional railways, terminals, equipment services, logistics and carefully selected industrial property.

The strongest version of this business is not simply a large railway owner. It is an integrated freight platform that earns from transportation and the supporting infrastructure while maintaining the safety, service quality and capital discipline required of a long-lived physical network.

The immediate next deliverable should be an investment-grade feasibility study with a named acquisition pipeline, regional freight map, target-company financials, engineering assessments, regulatory analysis and a fully integrated twenty-year model.

Selected research sources

1. Association of American Railroads, [Freight Rail Facts & Figures](#).
2. Bureau of Transportation Statistics / Federal Highway Administration, [Freight Analysis Framework](#).
3. Surface Transportation Board, [official website](#) and [merger resources](#).
4. Federal Railroad Administration, [official website](#).
5. Genesee & Wyoming historical filings and transaction materials, available through the [SEC EDGAR database](#).

Disclaimer: This document is a strategic planning proposal prepared for discussion. Market information and regulatory requirements must be refreshed and verified. Financial targets and capital allocations are illustrative assumptions, not audited results, forecasts, financing commitments or investment advice. Any transaction requires professional legal, tax, engineering, environmental and financial due diligence.